or should we prescribe when funds should use net asset value, total investments, net exposure, or total exposure? If we prescribe the basis of presentation, how should we determine which type of fund uses which type of presentation?

83. For funds that depict portfolio holdings according to credit quality, we are proposing to require that a fund briefly describe how the credit quality of its holdings was determined and, if credit ratings are used, the fund must concisely explain why it selected a particular credit rating. Is this additional disclosure about credit quality necessary and/or useful? If so, why? Would funds be able to succinctly provide this information? If not, why not?

84. Should we expressly permit or require other types of presentations, such as top 10 holdings or changes in holdings over time? If so, what types of presentations and why? If not, why not?

85. Should we permit or require other ways of presenting a fund's holdings? For example, instead of or in addition to the graphical representation of holdings, should we require disclosure of a fund's top holdings or a complete schedule of investments in the annual report? If so, what types of presentations should we require and why?

86. Should we consider any other changes to the graphical representation of holdings requirements?

f. Material Fund Changes

We propose to add a new section to the annual report to describe material changes to the fund. Specifically, a fund would have to describe briefly any material change in an enumerated list of items (as well as any other material change that the fund chooses to disclose) that has occurred since the beginning of the reporting period or that the fund plans to

make in connection with its annual prospectus update.[271] This proposed requirement is designed to highlight for fund shareholders the most salient information they typically receive through annual prospectus updates and tailor the presentation of this information to these existing shareholders' needs (as opposed to the needs of new or prospective investors for whom prospectus disclosure is primarily designed). We believe this new shareholder report disclosure would allow shareholders to better recognize and understand material changes to their fund investment, which may inform a shareholder's future investment decisions (*i.e.*, whether to hold or sell the fund investment, or to purchase additional shares).

Under the proposal, a fund would be required to include disclosure in its annual report that briefly describes a material change with respect to any of the following items:

- A change in the fund's name (as described in Item 1(a)(1) of Form N-1A);
- A change in the fund's investment objectives or goals (as described in Item 2 of Form N-1A);
- An increase in the fund's ongoing annual fees, transaction fees, or maximum account fee (as described in Item 3 of Form N-1A);[272]

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[271] *See* proposed Item 27A(g) of Form N-1A; *see also supra* footnote 20 (recognizing that funds generally must transmit annual reports within 60 days after fiscal year-end and funds' annual prospectus updates are typically finalized within 120 days after fiscal year-end) and *infra* paragraph accompanying footnote 287 (discussing the annual report disclosure of material changes the fund plans to make in connection with its annual prospectus update).

[272] *See infra* Section II.H (discussing proposed amendments to Item 3 of Form N-1A). The proposed rule would only require funds to disclose material increases to the fund's ongoing annual fees, transaction fees (*e.g.*, purchase charges or exit charges), or maximum account fee because we believe shareholders would be more interested in investment cost increases, rather than decreases. A fund may, however, voluntarily disclose material decreases to its fees and expenses in its annual report.

- A change in the fund's principal investment strategies (as described in Item 4(a) of Form N-1A);[273]
- A change in the principal risks of investing in the fund (as described in Item 4(b) of Form N-1A);
- A change in the fund's investment adviser(s), including sub-adviser(s) (as described in Item 5(a) of Form N-1A);[274] and
- A change in the fund's portfolio manager(s) (as described in Item 5(b) of Form N-1A).

Additionally, a fund could include any other material fund change that it would like to disclose to its shareholders.[275]

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[273] Under Investment Company Act rule 35d-1, a fund with a name that suggests investments in certain industries, investments, countries, or geographic regions generally must have a policy to invest at least 80% of the value of its assets in the relevant investments that its name suggests (a "names rule investment policy"). This names rule investment policy is part of the fund's principal investment strategy. Under rule 35d-1, a fund must provide shareholders with at least 60 days prior notice of any change to its names rule investment policy under certain circumstances. *See* rule 35d-1(a)(2)(ii), (a)(3)(iii), and (c) [17 CFR 270.35d-1(a)(2)(ii), (a)(3)(iii), and (c)]; Request for Comments on Fund Names, Investment Company Act Release No. 33809 (Mar. 2, 2020) [85 FR 13221 (Mar. 6, 2020)].

If, under the proposed requirement to disclose certain material fund changes in the annual report, the fund provides notice of a change to its names rule investment policy, that notice would satisfy the requirements of rule 35d-1 if: (1) the annual report is provided to shareholders at least 60 days before the fund changes its names rule investment policy; (2) the annual report contains the statement required by rule 35d-1(c)(2) (*e.g.*, "Important Notice Regarding Change in Investment Policy"); (3) and the envelope in which the shareholder report is delivered (if applicable) has this same statement, as required by rule 35d-1(c)(3).

[274] The proposal would not require a fund to disclose a change in a sub-adviser where Item 5 of Form N-1A would not require the fund to disclose the name of the sub-adviser in its prospectus. *See* Instructions 1 and 2 to Item 5 of Form N-1A.

[275] For example, a fund may wish to disclose in its annual report plans to liquidate or merge the fund, even if previously disclosed to shareholders.

This item would notify fund shareholders of material changes to the fund that have occurred or that the fund expects to make in its forthcoming annual prospectus update. Currently, fund shareholders typically receive information about these changes in: (1) annual prospectus updates; or (2) other prospectus updates they may receive throughout the year (which can take the form of a prospectus "sticker" or an updated copy of the fund's prospectus or, under the proposal, a notice of material change under proposed rule 498B).[276] While fund shareholders receive information about material changes today, we are concerned that material changes to a fund may not always be readily apparent to an existing shareholder. For example, changes that the annual prospectus update discusses may not be easy for an average shareholder to identify, as there is no requirement for a fund to identify or highlight changes to the fund in its prospectus.[277] Instead, a fund only has to update the prospectus disclosure to reflect the substance of the change. For example, if a fee has changed, the

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[276] *See supra* footnote 13 and accompanying text; Comment Letter of Investment Company Institute (Oct. 1, 2019) ("ICI Comment Letter II") (stating that respondents to an ICI member survey indicated that they primarily mail prospectus stickers to inform shareholders of material changes to the portfolio manager, material increases in fees, material (but nonfundamental) changes to the fund's investment objectives or strategies, changes to subadvisory agreements or subadvisers, changes in the fund's index or benchmark, changes to the fund's name, or planned fund mergers or liquidations). *See also infra* Section II.F.3.b (discussing proposed rule 498B's notice requirement).

[277] This also may be the case when a fund delivers an updated version of its prospectus to reflect material or other changes at other times throughout the year. However, a prospectus sticker that a fund instead may deliver for the same purpose typically would identify a change more explicitly.

Some other types of registered investment companies currently are required to identify certain changes in their shareholder disclosure materials. *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27 (requiring updating summary prospectuses for variable contracts, which provide a brief description of any important changes with respect to the contract that occurred within the prior year to allow investors to better focus their attention on new or updated information relating to the contract); rule 8b-16(b) under the Investment Company Act (requiring certain registered closed-end funds to identify specific types of material changes in their annual reports).

prospectus disclosure would include the new fee, but the prospectus would not have to disclose the old fee or highlight that the fee had changed. Thus, we believe the proposed requirement to disclose material fund changes in the annual report may increase the salience of material fund changes for shareholders and help shareholders more efficiently monitor and assess their fund investments relative to current disclosure requirements.

The categories of fund changes that we propose to require funds to disclose in their annual reports are meant to capture the types of material changes to prospectus disclosure that we believe are important to fund shareholders, that may influence their investment decisions, and that are more likely to occur. Specifically, the types of material changes that a fund would need to disclose in its annual report generally align with the key prospectus disclosure items the Commission requires in summary prospectuses (and in the summary section of statutory prospectuses) that we understand investors typically use to make investment decisions.[278] We believe the annual report should help a shareholder monitor and assess his or her fund investment, which includes information to help a shareholder assess whether to maintain or change a fund investment. Because we understand that investors often use information about a fund's principal investment strategy, principal risks, fees, investment objectives or goals, name, investment adviser, and portfolio manager to inform initial investment decisions, we believe that material changes to these items may affect a shareholder's assessment of whether to hold, buy, or sell fund shares.[279] In addition to the identified types of changes, funds could

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[278] *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at n.35 and accompanying text; *see also* Arnold Comment Letter; Baker Comment Letter; Dougle Comment Letter; Freeland Comment Letter; Wilhelm Comment Letter.

[279] *See supra* footnote 278; What US Households Consider When They Select Mutual Funds, 2018, ICI Research Perspective (May 2019), *available at* https://www.ici.org/pdf/per25-03.pdf.